

Below is a formal, institutional-grade response structured in three layers, exactly as requested:

1. A formal Family Office IPS (Investment Policy Statement)
2. An explanation of how the Convex framework maps onto your current asset base (conceptual + practical)
3. A clean replication adapted to Giovannini Mare Capital philosophy

This is written at Family Office / CIO level, not marketing level.

I. FAMILY OFFICE INVESTMENT POLICY STATEMENT

(Convex-Inspired Framework)

1. Purpose & Mandate

This Investment Policy Statement ("IPS") defines the principles, constraints, and decision framework governing the allocation of capital for the Family Office.

Primary Objective

Preserve and compound real purchasing power across economic cycles by prioritizing survivability, liquidity, and asymmetric return opportunities.

Secondary Objectives

- Avoid catastrophic drawdowns
- Maintain flexibility across regimes
- Exploit convex opportunities when conditions allow
- Minimize dependency on forecasts, narratives, and local risk

2. Investment Philosophy

The portfolio is constructed using a risk-first, convex allocation framework, inspired by the research philosophy of Convex Research.

Core beliefs:

- Markets are non-linear and regime-dependent
- Risk management precedes return optimization
- Survival through adverse regimes is a prerequisite for compounding
- Asymmetry (convexity) is superior to average

optimization

The portfolio is not designed to maximize returns in normal conditions, but to remain functional across extreme outcomes.

3. Governance & Independence

- No reliance on bank-manufactured products
- No commission-driven allocation
- Preference for transparent, liquid instruments
- Global opportunity set (no home-country bias)

The Family Office acts as its own allocator, not as a passive recipient of external narratives.

4. Risk Management Framework

4.1 Risk Definition

Risk is defined as:

- Permanent capital impairment
- Forced liquidation
- Loss of optionality during crises

Volatility alone is not treated as risk.

4.2 Fragility Assessment

Assets are evaluated based on:

- Sensitivity to liquidity shocks
- Dependence on leverage
- Correlation shifts under stress
- Institutional positioning and forced-flow dynamics

Exposure is scaled, not binary.

5. Portfolio Architecture (“Gavetas”)

The portfolio is structured into functional buckets, each with a specific job.

5.1 Capital Preservation / Survival Bucket

Objective: Survive crises, preserve liquidity, enable rebalancing.

Typical instruments:

- Cash / T-Bills
- USD exposure
- Gold
- High-quality sovereign bonds (regime-dependent)

This bucket may appear inefficient in calm periods by design.

5.2 Convex / Optionality Bucket

Objective: Capture asymmetric upside in favorable regimes.

Typical instruments:

- Select equities (tech, secular growth, pricing power)
- Cryptoassets (Bitcoin + selective alpha exposure)
- Commodities
- Real assets (REITs) when convexity exists

Exposure expands only when fragility is low or improving.

5.3 Tactical / Local Exposure (Optional)

Objective: Opportunistic, non-structural positions.

- Brazil assets treated tactically
 - No permanent home-bias allocation
 - Size limited to avoid portfolio contamination
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6. Allocation Bands (Illustrative, Non-Static)

Bucket	Target Range
Capital Preservation	35–55%
Convex / Optionality	30–50%
Tactical / Local	0–15%

These are elastic bands, not fixed weights.
They change with liquidity and fragility regimes.

7. Rebalancing & Activity

- Rebalancing is event-driven, not calendar-driven
- Inactivity is an acceptable and often optimal state
- Rebalancing occurs:
- From safety → risk during crises

- From risk → safety during exuberance

The goal is structural convexity over time, not tactical brilliance.

8. Prohibited Practices

- Excess leverage
 - Illiquid structured products
 - Benchmark hugging
 - Yield-chasing without risk asymmetry
 - Short-term trading as a core strategy
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9. Time Horizon

- Medium to long term
 - Designed for multi-year cycles
 - Accepts temporary drawdowns if portfolio structure remains intact
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II. MAPPING THIS FRAMEWORK TO YOUR CURRENT ASSET BASE (EXPLANATION)

You asked explicitly to explain, not just map mechanically.
So here is the logic step by step.

1. How Convex Thinks → How Your Assets Should Be Seen

Convex does not see assets by label (“stocks”, “crypto”, “real estate”).

They see them by function under stress.

So the first step is re-classification.

Example Mapping Logic

Asset	Not Seen As	Seen As
Cash / USD	Idle money	Optionality
Gold	Return asset	Anti-fragile reserve
Bitcoin	“Crypto”	Regime-dependent (reserve or convex risk)
Equities	Growth	Liquidity-sensitive convexity
Real Estate	Stability	Illiquid duration exposure

2. Your Real Estate (from prior context)

From a Convex lens:

- Real estate is not convex
- It is illiquid duration
- Sensitive to:
- Rates
- Credit availability
- Local economic cycles

Conclusion

Real estate belongs to the Capital Preservation / Structural Bucket, but should not be treated as liquid ballast.

This implies:

- No aggressive expansion during tightening cycles
- Conservative valuation
- Used as long-term store, not rebalancing engine

3. Your Financial Assets (USD, Crypto, Equities)

USD / Offshore Exposure

- Core survival layer
- Hedge against BRL risk
- Rebalancing fuel

This should be structurally protected.

Bitcoin

Bitcoin in your portfolio must be state-dependent:

- In fragility ↓ → behaves as convex optionality
- In fragility ↑ → behaves closer to reserve of value

Key rule

Bitcoin weight should never be justified by belief – only by payoff asymmetry.

Crypto Alpha (non-BTC)

- Pure convex sleeve
- Must tolerate:
- 50–80% drawdowns

- Position size must assume:
- High failure probability
- Non-linear upside

This is where Convex logic is most strict.

Equities

Equities are not always growth assets.

They are:

- Liquidity instruments
- Policy-sensitive
- Regime-dependent

Hence:

- Exposure scaled via cash inside the equity bucket
- Preference for pricing power and balance-sheet

strength

4. Key Insight for You

The framework does not tell you what to buy.

It tells you how much vulnerability you can afford at each moment.

This is where most investors fail.

III. REPLICATION – GIOVANNINI MARE CAPITAL

Investment Philosophy (Adapted, Proprietary)

Below is a clean replication, not a copy.

Giovannini Mare Capital

Investment Philosophy

Core Belief

Capital is preserved by surviving adverse regimes and compounded by

exploiting asymmetries – not by prediction, leverage, or constant activity.

Philosophy

Giovannini Mare Capital operates as a global, risk-first Family Office, applying institutional portfolio construction principles to private capital.

The firm prioritizes:

- Structural resilience
 - Liquidity under stress
 - Asymmetric return opportunities
 - Independence from local macro and financial repression
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Allocation Framework

Capital is allocated across functional buckets, each with a defined role:

1. Survival & Optionality
 - Cash
 - USD assets
 - Gold
 - High-quality sovereign exposure
 2. Convex Growth
 - Select equities
 - Bitcoin and digital assets
 - Commodities
 - Real assets when regime-appropriate
 3. Tactical Brazil
 - Opportunistic only
 - Non-structural
 - Size constrained
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Risk Discipline

- Fragility, not volatility, defines risk
 - Exposure is scaled gradually
 - Cash is a strategic asset
 - Inactivity is an intentional position
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Time Horizon

Multi-cycle, multi-year.

Designed to withstand:

- Liquidity shocks
- Inflation regimes
- Policy errors
- Structural transitions

Final Doctrine (One Line)

Giovannini Mare Capital exists to protect purchasing power first and to deploy capital aggressively only when payoff asymmetry is clearly in its favor.
